

IN THE HOUSE OF REPRESENTATIVES

HOUSE JOINT MEMORIAL NO. 16

BY HEALTH AND WELFARE COMMITTEE

A JOINT MEMORIAL

TO THE ADMINISTRATOR OF THE CENTERS FOR MEDICARE AND MEDICAID SERVICES, TO THE SENATE AND THE HOUSE OF REPRESENTATIVES OF THE UNITED STATES IN CONGRESS ASSEMBLED, AND TO THE CONGRESSIONAL DELEGATION REPRESENTING THE STATE OF IDAHO IN THE CONGRESS OF THE UNITED STATES.

We, your Memorialists, the House of Representatives and the Senate of the State of Idaho assembled in the Second Regular Session of the Sixty-eighth Idaho Legislature, do hereby respectfully represent that:

WHEREAS, Idaho seniors and other Medicare beneficiaries rely on access to affordable Medicare and prescription drug coverage that meets their health care needs; and

WHEREAS, federal law provides a limited annual enrollment period during which Medicare beneficiaries must select health coverage options for the upcoming plan year; and

WHEREAS, the Centers for Medicare and Medicaid Services (CMS) oversees Medicare Advantage plans, including plan approval, bid review, and federal program requirements; and

WHEREAS, the Idaho Department of Insurance regulates insurer licensure, solvency, and market conduct within the State of Idaho, including Medicare Supplement products and insurance producer activity; and

WHEREAS, effective Medicare oversight relies on clear coordination between federal regulators and state insurance regulators; and

WHEREAS, CMS and the Idaho Department of Insurance maintain a memorandum of understanding allowing cooperation and information sharing regarding violations of applicable laws, rules, and guidance; and

WHEREAS, maintaining stability and predictability in Medicare Advantage plan availability is essential to protecting Medicare beneficiaries during the annual enrollment period; and

WHEREAS, Medicare beneficiaries have limited time during the annual enrollment period to make informed decisions regarding their health care coverage options; and

WHEREAS, Medicare beneficiaries often rely on licensed insurance producers to assist with plan selection, and sudden changes to producer compensation structures may reduce consumer access to informed guidance during the annual enrollment period; and

WHEREAS, insurers seeking to offer Medicare Advantage plans in Idaho must submit bids to CMS and receive approval to offer plans while complying with applicable federal and state requirements; and

WHEREAS, insurance companies are required to actuarially develop their rates using appropriate justification; and

WHEREAS, sudden limitations, withdrawal of plan availability, or market conduct that discourages enrollment during the annual enrollment period

1 may disrupt consumer choice and market stability for Medicare beneficia-
2 ries; and

3 WHEREAS, before the 2025 open enrollment period, certain companies,
4 after actuarially pricing, voluntarily applying for, and being awarded the
5 Medicare contract, attempted to dissuade or steer consumers away from their
6 products; and

7 WHEREAS, certain companies withdrew their enrollment applications, de-
8 nied access to Idaho seniors and those who qualify for Medicare, and created
9 market disruption; and

10 WHEREAS, the Idaho Department of Insurance issued a bulletin identify-
11 ing these practices as unfair trade practices under Idaho law; and

12 WHEREAS, due to some companies continuing to operate in a harmful manner
13 to Idaho seniors, Medicare recipients, and to the Medicare market, the Idaho
14 Department of Insurance issued cease and desist orders; and

15 WHEREAS, it is the public policy of the State of Idaho that insurers op-
16 erating within the state comply with all applicable laws governing licen-
17 sure, solvency, and trade practices, and that Medicare beneficiaries have
18 meaningful access to approved coverage options; and

19 WHEREAS, it is further the public policy of the State of Idaho that in-
20 surance companies who apply to offer coverage should not engage in practices
21 that discourage enrollment or limit plan availability after approval to of-
22 fer such coverage.

23 NOW, THEREFORE, BE IT RESOLVED by the members of the Second Regular Ses-
24 sion of the Sixty-eighth Idaho Legislature, the House of Representatives and
25 the Senate concurring therein, that the Idaho Legislature supports the on-
26 going efforts of the Idaho Department of Insurance to protect Idaho Medicare
27 beneficiaries and promote a stable and fair insurance marketplace.

28 BE IT FURTHER RESOLVED that the Legislature encourages the Idaho De-
29 partment of Insurance to continue working with CMS to ensure Idaho Medicare
30 beneficiaries are protected against unfair or disruptive market practices.

31 BE IT FURTHER RESOLVED that the Legislature requests CMS to continue
32 collaboration with Idaho and other state insurance regulators and to pro-
33 vide clear guidance regarding federal and state oversight responsibilities
34 related to Medicare Advantage plans.

35 BE IT FURTHER RESOLVED that the Legislature requests CMS to provide
36 guidance regarding changes to producer compensation structures after plan
37 approval and its impact on consumer access and market stability.

38 BE IT FURTHER RESOLVED that the Chief Clerk of the House of Represen-
39 tatives be, and she is hereby authorized and directed to forward a copy of
40 this Memorial to the Administrator of the Centers for Medicare and Medic-
41 aid Services, to the President of the Senate and the Speaker of the House of
42 Representatives of the United States in Congress assembled, and to the con-
43 gressional delegation representing the State of Idaho in the Congress of the
44 United States.